1. WEHBE v. CARDINAL FINANCIAL CO., ET AL., 25CV0635

Motion for Judgment on the Pleadings

This is a wrongful foreclosure action. On June 15, 2026, pursuant to Code of Civil Procedure section 438, defendant Cardinal Financial Company, LP ("defendant") filed a motion for judgment on the pleadings. Defense counsel declares she met and conferred with plaintiff prior to filing the motion in compliance with Code of Civil Procedure section 439. (Goldberg Decl., ¶ 2.)

On August 10, 2026, plaintiff filed a timely opposition. On August 14, 2026, defendant filed a timely reply.

1. Request for Judicial Notice

Pursuant to Evidence Code section 452, subdivision (c), the court grants defendant's request to take judicial notice of Exhibit A (recorded deed of trust) and Exhibit B (recorded notice of default).

Defendant also asks the court to take judicial notice of Exhibit C, plaintiff's declaration filed May 7, 2026, in the instant action in support of his application for preliminary injunction (Exhibit C is a total of 39 pages: plaintiff's declaration is three pages and there are 11 exhibits attached thereto). The court can certainly take judicial notice of the declaration itself because it is a court pleading. (Evid. Code, § 452, subd. (d).) Generally, the court may not take judicial notice of the truth of the matters asserted therein. However, a court may take judicial notice of a party's admissions or concessions in cases where the admission " 'cannot reasonably be controverted,' " such as in answers to interrogatories or requests for admission, or in affidavits and declarations filed on the party's behalf. (*Arce v. Kaiser Foundation Health Plan*, *Inc.* (2010) 181 Cal.App.4th 471, 485; *Del E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal.App.3d 593, 604–605 ["The court will take judicial notice of records such as admissions, answers to interrogatories, affidavits, and the like, when considering a demurrer, only where they contain statements of the plaintiff or his agent which are inconsistent with the allegations of the pleading before the court."].)

Here, the court grants defendant's request to take judicial notice of the content of plaintiff's declaration, but only to the extent that it is relevant to the instant motion. The judicially noticed content shall include the following portions of plaintiff's declaration only (not the exhibits to plaintiff's declaration): (1) "On April 4, 2024, ServiceMac sent me an assistance/modification packet, and I submitted the completed documents in good faith;" (2) "I was then required to restart the entire modification process from the beginning — with Cardinal Financial, not ServiceMac. I provided all documentation including monthly income statement (MIS) as requested but received an 'Incomplete Application' noticed dated June 26, 2024;" and (3) "I then successfully submitted all required documents and Cardinal Financial acknowledges receipt of a complete mortgage assistance package, but the package closed same day it was accepted." (Request for Judicial Notice ("RJN") Ex. C, ¶ 5, subds. (c), (e), (f).)

2. Legal Principles

A motion for judgment on the pleadings serves the same function as a general demurrer. (*Smiley v. Citibank* (1995) 11 Cal.4th 138, 145–146.) A motion by a defendant can be made on the ground that the complaint, or any cause of action therein, "does not state facts sufficient to constitute a cause of action against that defendant." (Code Civ. Proc., § 438, subd. (c)(1)(B)(ii).) The grounds for a judgment on the pleadings must appear on the face of the challenged pleading or be based on facts the court may judicially notice. (Code Civ. Proc., § 438, subd. (d); *Tung v. Chicago Title Co.* (2021) 63 Cal.App.5th 734, 758–759.)

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3. Discussion

4.1. Civil Code section 2923.5

Civil Code section 2923.5[1] requires a mortgage servicer to contact a borrower to assess their financial situation and explore options to avoid foreclosure before recording a notice of default. In order to state a cause of action under California's Homeowner Bill of Rights ("HBOR"), the alleged violation must be "material." (*Billesbach v. Specialized Loan Servicing LLC* (2021) 63 Cal.App.5th 830, 837.) "A material violation is one that affected the borrower's loan obligations, disrupted the borrower's loan-modification process, or otherwise harmed the borrower." (*Ibid.*) At the pleading stage, the court asks whether the alleged violation undermined the overall purpose of the HBOR. (*Id.*, at p. 846 ["the HBOR creates no liability for a technical violation that does not thwart its purposes"].)

In this case, defendant recorded its notice of default on December 22, 2025. (RJN, Ex. B.)

The court has taken judicial notice of the following portions of plaintiff's declaration filed in this case on May 7, 2026, in support of his application for preliminary injunction: (1) "On April 4, 2024, ServiceMac sent me an assistance/modification packet, and I submitted the completed documents in good faith;" (2) "I was then required to restart the entire modification process from the beginning — with Cardinal Financial, not ServiceMac. I provided all documentation including monthly income statement (MIS) as requested but received an 'Incomplete Application' noticed dated June 26, 2024;" and

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[1] Civil Code section 2923.5 states that a mortgage servicer "shall not record a notice of default pursuant to Section 2924 until ... [e]ither 30 days after initial contact is made as required by paragraph (2) or 30 days after satisfying the due diligence requirements as described in subdivision (e)." (*Id.*, subd. (a)(1).) Paragraph (2) requires the mortgage servicer to contact the borrower by phone or in person and to assess the borrower's financial situation and to explore options to avoid foreclosure. The servicer shall advise the borrower she has the right to a later meeting, to occur within 14 days. The servicer must also provide the toll-free number for HUD.

(3) "I then successfully submitted all required documents and Cardinal Financial acknowledges receipt of a complete mortgage assistance package, but the package closed same day it was accepted." (RJN Ex. C, ¶ 5, subds. (c), (e), (f).)

These admissions in plaintiff's declaration contradict the allegations in his complaint that defendant "failed to contact Plaintiffs [sic] to discuss his options prior to foreclosure and further failed to even attempt with due diligence to contact Plaintiff." (Comp., RJN Ex. C, ¶ 5, subds. (c), (e), (f); Compl., ¶ 18.) Therefore, the court disregards said allegations in plaintiff's complaint and finds that plaintiff fails to allege facts sufficient to state a cause of action against defendant under Civil Code section 2923.5.

Despite the admissions in plaintiff's declaration, it remains unclear as to whether defendant contacted plaintiff using one of the required methods (i.e., telephone or in person). (Civ. Code, § 2923.5, subd. (a)(2)(A).) Even assuming, however, that defendant failed to contact plaintiff using one of the required methods, the court finds that the alleged violation of Civil Code section 2923.5 in this case would not be "material" where plaintiff actually spoke with the servicer about loan modification options prior to the recordation of the notice of default because the statute's core purpose has been fulfilled. (See, *Schmidt v. Citibank, N.A.* (2018) 28 Cal.App.5th 1109, 1123–1124, fn. 7.) Plaintiff clearly alleges that he discussed potential options to avoid foreclosure with defendant. And, defendant did not record the notice of default until over a year after plaintiff submitted his loan modification.

The motion is granted as to this cause of action. Because there is no reasonable possibility that amendment will cure the defect, the court denies leave to amend. (Code Civ. Proc., § 438, subd. (h)(2); *People v. $20,000 U.S. Currency* (1991) 235 Cal.App.3d 682, 692.)

4.2. Civil Code section 2923.7

Civil Code section 2923.7 requires a mortgage servicer to provide a borrower a single point of contact for discussions regarding foreclosure prevention alternatives when the borrower requests one. (Civ. Code, § 2923.7.) California enacted Civil Code section 2923.7 as part of its attempt "to eliminate the practice of dual tracking and to ameliorate its effects, by requiring lenders and loan servicers to designate a 'single point of contact' for each borrower in default. [Citations.]" (*Jolley v. Chase Home Fin., LLC* (2013) 213 Cal.App.4th 872, 904.) As previously stated, the alleged violation must be "material."

Defendant argues that (1) plaintiff did have a single point of contact; and alternatively, (2) "[b]ecause Plaintiff was able to complete the loan modification review process, any alleged violation of [Civil Code section] 2923.7 was immaterial." (Mtn. at 7:14–15.)

The court rejects defendant's argument that plaintiff had a single point of contact. Defendant cites the portion of plaintiff's declaration which states, "I then successfully submitted all required documents and Cardinal Financial acknowledges receipt of a complete mortgage assistance package, but the package closed same day it was accepted." (RJN Ex. C, ¶ 5, subd. (f).) The court does not read plaintiff's declaration as establishing he had a single point of contact.

Additionally, the court is not persuaded that the alleged violation is not material. A "material" violation of the HBOR requiring mortgagee or home mortgage loan servicer to provide a borrower with a single point of contact in relation to the borrower's request for loan modification is one that affects the borrower's loan obligations, disrupts the borrower's loan modification process, or otherwise harms the borrower. (*Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279, 305–306.) Liberally construing the allegations of the complaint, as the court must do on this type of motion, the court cannot say as a matter of law that the alleged violation did not deprive plaintiff of a meaningful opportunity to be considered for a loan modification. Therefore, the court denies the motion as to this cause of action.

4.3. Business and Professions Code section 17200

Plaintiff's claim of unfair business practices is premised on the alleged violations of Civil Code sections 2923.5 and 2923.7. Having denied the motion with respect to the alleged violation of Civil Code section 2923.7 (requiring a single point of contact), the court will also deny the motion as to the claim of unfair business practices.

TENTATIVE RULING # 1: THE MOTION IS GRANTED IN PART WITHOUT LEAVE TO AMEND AND DENIED IN PART. WITH RESPECT TO THE FIRST CAUSE OF ACTION (CIV. CODE, § 2923.5), THE MOTION IS GRANTED WITHOUT LEAVE TO AMEND. WITH RESPECT TO THE SECOND CAUSE OF ACTION (CIV. CODE, § 2923.7) AND THE THIRD CAUSE OF ACTION (BUS. & PROF. CODE, § 17200), THE MOTION IS DENIED.

NO HEARING ON THIS MATTER WILL BE HELD (*LEWIS v. SUPERIOR COURT* (1999) 19 CAL.4TH 1232, 1247), UNLESS A NOTICE OF INTENT TO APPEAR AND REQUEST ORAL ARGUMENT IS TRANSMITTED ELECTRONICALLY THROUGH THE COURT'S WEBSITE OR BY TELEPHONE TO THE COURT AT (530) 573-3042 BY 4:00 P.M. ON THE DAY THE TENTATIVE RULING IS ISSUED. NOTICE TO ALL PARTIES OF AN INTENT TO APPEAR MUST BE MADE BY TELEPHONE OR IN PERSON. PROOF OF SERVICE OF SAID NOTICE MUST BE FILED PRIOR TO OR AT THE HEARING.